



DETERMINATION OF INCOME AND EMPLOYMENT

Title: Determination of Income and Employment basic learning

ELI5 VERSION | BY THUNDERSTUDY STYLE 🧠✨

This chapter basically answers one big question:

👉 **How does an economy decide how much people work and how much income everyone earns?**



Imagine a Bakery Economy (Simple Story)

Think of a country like a big bakery.

👉 The bakery makes bread = **Goods & services (GDP / National Income)**

👉 Workers bake bread = **Employment**

👉 People buy bread = **Demand**

Now the BIG rule: The bakery will only make as much bread as people want to buy.

This is the whole chapter in one line.

1 Aggregate Demand (AD) – “How much people want to buy”

Aggregate Demand means total spending in the economy. It comes from:

- 👉 👤 Consumers (C) → people buying things
- 👉 🏢 Firms (I) → businesses investing
- 👉 🏛️ Government (G) → government spending
- 👉 🌐 Foreigners (X – M) → exports & imports

$$AD = C + I$$

👉 If people want more bread → bakery produces more.

2 Aggregate Supply (AS) – “How much is produced”

Aggregate Supply means: **Total goods & services produced = Total Income earned.**

Why? Because when firms produce, Workers get **wages** 💰 and Owners get **profit** 💰.

$$AS = \text{National Income (Y)}$$

3 Equilibrium – The Magic Balance ⚖️

Economy is happy when: **AD = AS**

Meaning: Whatever is produced = fully bought.

📌 This point decides: **Income level & Employment level.**

👉 This is called Equilibrium Level of Income & Employment.

4 What if Demand is Less? (Unemployment 😞)

Imagine bakery made 100 breads but people buy only 70.

👉 Bread remains unsold ❌

👉 Bakery reduces production

👉 Workers lose jobs

So: $AD < AS \rightarrow$ Income falls $\rightarrow$ Employment falls

5 What if Demand is More? (Expansion 🚀)

If people want 120 breads but bakery made 100:

👉 Stocks finish quickly

👉 Firms hire more workers

👉 Production increases

So: $AD > AS \rightarrow$ Income rises $\rightarrow$ Employment rises

6 Consumption (C) – Why people spend

People spend money depending on income. Basic idea: **More income $\rightarrow$ More spending.**

$$C = a + bY$$

Where: **a** = spending even with zero income (basic needs); **b** = extra spending from extra income (MPC).

7 MPC (Marginal Propensity to Consume)

Suppose you get ₹100 pocket money: Spend ₹80, Save ₹20.

Then: $MPC = 80/100 = 0.8$

Meaning: 👉 You spend 80% of extra income.

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8 Multiplier – The Domino Effect

One person's spending becomes another person's income.

Example: Government spends ₹100 → Shopkeeper earns ₹100 → He spends ₹80 → Another earns ₹80 → Chain continues...

Income increases MANY times.

$$\text{Multiplier} = 1 / (1 - \text{MPC})$$

If MPC = 0.8: **Multiplier = 5**. So ₹100 investment → ₹500 total income 😲

Whole Chapter in 5 Lines (Exam Gold)

-   Economy's income depends on Aggregate Demand.
-   Firms produce according to demand.
-   Equilibrium occurs when AD = AS.
-   Low demand → unemployment.
-   Investment increases income through Multiplier effect.

Ultra-Easy Memory Trick

Think:

Demand decides Production → Production decides Jobs → Jobs decide Income

 **D → P → J → I**

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